

moves sideways to down in the extension. You can think of the extension as a flag that appears in an uptrend. I'll show a chart of the pattern in a moment.

The above Results Snapshot shows a pattern with a low failure rate but also a low average rise in bull markets (ranking 24 where 1 is best). Bear markets do much better, ranking third because of the 33% average rise.

Price reaches the measure rule target between a third and half the time, which is disappointing. A half-height target works better. We'll discuss that in the Trading Tactics portion of this chapter. Let's take a tour of this pattern.

Tour

[Figure 70.1](#) shows what a typical example of an extended V-bottom pattern looks like (from A to C). The top of the V begins at A, although you might wish to include the drop from the September high (which would make the pattern look too tall, I think). Price plunges in a straight-line run down to the bottom of the V, near B.

Price recovers (following trendline B) in a straight-line run that mirrors the angle of the AB drop. Then something happens to swat the bulls into submission. Price moves sideways (in this example), forming a ledge, shelf, or handle, at C (pick your favorite adjective, or just call it the extension). This sideways move is the ideal pattern, where the extension is horizontal, but it need not be. Oftentimes you'll see price trend downward (in the extension), but rarely will it trend upward. In this case, the horizontal move at C looks like a diamond top, or perhaps an inverted roof would be a better match. The extended V-bottom pattern ends on the right side of the extension.

Volume trends downward (D) in this example and that's typical for the extended V-bottom.